

PEOPLE'S PUBLIC TRUST ECONOMIC ZONE 0001 — CALIFORNIA

PPT-EZ-CA-0001

312 Spring Commons

INVESTOR EXECUTIVE BRIEF

Proposed Reference Transaction 001 — public title, protected rehabilitation capital and measurable transaction efficiency

v0.2 • September 17, 2026

WORKING DRAFT / PROJECT ASSUMPTIONS

This document is a working project draft for discussion, diligence and counsel review. It distinguishes verified facts from working assumptions, target benchmarks and items to be determined. Nothing herein is an offer to sell securities, a guarantee of tax benefits, a commitment by any government agency, or a representation that the proposed public-benefit conveyance, financing, lease, technology benchmark or community-distribution structure has been approved.

Executive Summary

PPT-EZ-CA-0001 is a proposed reference transaction centered on the historic Federal Building & U.S. Courthouse at 312 N. Spring Street in Los Angeles. The project is testing whether an existing federal Historic Surplus pathway can preserve public ownership while mobilizing philanthropic, public, tax-credit and mission-aligned private capital to rehabilitate and activate a major civic asset. The same transaction is also intended to benchmark a TitleChain/M5 protocol for title-state transparency, authority controls, transaction coordination and measurable reduction of administrative and capital friction.

CURRENT STATUS: Conditional go / diligence. The federal Historic Surplus pathway remains to be confirmed as available; public grantee, operator, final scope and financing are not yet approved.

CURRENT OWNER: United States of America / federal property administered through GSA, subject to authoritative title confirmation.

PROPOSED TITLE OUTCOME: Qualifying City/County/state instrumentality or other eligible public entity — TBD — holding fee title subject to federal historic/public-use restrictions.

PROPOSED PROJECT DESIGNATION: People's Public Trust Economic Zone 0001 — California (PPT-EZ-CA-0001), a project benchmark designation; not an official state economic-zone designation unless separately authorized.

1. The Asset

Item	Working project fact / assumption
Address	312 N. Spring Street, Los Angeles, CA 90012
Property	Federal Building & U.S. Courthouse
Historic status	National Historic Landmark / National Register listed (per project feasibility sources)
Rentable area	751,791 SF shown in current project/GSA research; reconcile against other government records before underwriting
Parcel	APN 5161-005-902 — subject to title/survey confirmation
Capital-maintenance reference	GSA reported nearly \$153M in avoided capital-maintenance liabilities; not a verified rehabilitation budget
Current pathway thesis	Historic Monument Public Benefit Conveyance through qualifying public grantee, followed by approved long-term operation

2. One Asset, Two Economic Architectures

Architecture	Illustrative flow
Conventional private development	Sale/acquisition vehicle → private equity/debt → rehabilitation → lease/revenue → investor/lender economics. Illustrative comparator, not the established disposition path for this property.
Proposed public-commons path	United States/GSA → Historic Surplus → qualifying public grantee → protected public fee title → long-term approved operator → rehabilitation + public/compatible revenue uses.

Core thesis: the public keeps the land; capital finances rehabilitation and defined operating economics; workers and community participate in the economy around the asset rather than receiving speculative fractional deed interests.

3. Current Legal / Transaction Structure

- United States / GSA: current federal owner/disposition authority.
- National Park Service: Historic Surplus program oversight and preservation/use review.

- Public Grantee — TBD: proposed fee titleholder, accountable for federal deed restrictions.
- People's Public Trust / PPT-EZ-CA-0001: proposed commons framework and benchmark program, not current fee owner.
- 312 Spring Commons Operator — TBD: proposed long-term rehabilitation/operating entity under an approved public-owner/NPS structure.

4. Preliminary Capitalization

The project uses an approximately \$200M-\$240M preliminary all-in capitalization envelope, with a working base case of approximately \$219.6M. This is a planning model only. The nearly \$153M GSA capital-maintenance figure must be replaced by independent scope and cost diligence before final underwriting.

Use	Working base
Rehabilitation / physical work reference	\$153.0M
A/E/preservation + PM	\$15.3M
Construction contingency	\$18.4M
Predevelopment / diligence	\$4.6M
Legal / tax / financing	\$4.6M
Permits/testing/commissioning	\$3.1M
Insurance/bonding	\$3.8M
Financing/carry	\$9.2M
Startup/operating reserve	\$6.1M
Digital/audit infrastructure allowance	\$1.5M
Working base	~\$219.6M

5. Potential Capital Sources

Capital lane	Role / current status
Philanthropic grants	Restricted mission capital for public-benefit and eligible rehabilitation/program uses.
Program-related investments	Potential foundation PRI capital subject to tax/counsel design.
Federal Historic Tax Credit	20% of qualified rehabilitation expenditures, generally ratable over five years; actual QRE, structure and net proceeds TBD.
New Markets Tax Credit	Potential 39%-over-seven-years federal credit through a CDE/QEI structure if project and location qualify; allocation and proceeds TBD.
Public capital	Potential grants, appropriations, revenue bonds or other lawful public finance subject to authority and approval.
Tenant/operator capital	Tenant improvements, program capital, equipment and operating contributions.
Project debt/equity	Only through specific non-fee-title project vehicles and subject to federal, lease, tax and securities constraints.

6. Why TitleChain / M5 Is Part of the Deal

The project is not proposing that blockchain replaces the deed, recorder, GSA, NPS or public owner. It is proposing a standardized evidence and authority layer that makes the transaction state visible: who holds title, which jurisdiction controls, which deed/restrictions apply, who has authority, which approvals are complete, what rights are separate from title, and what state transitions have occurred.

Proposed TitleChain / M5 Title-State Process

The project intends to use the TitleChain/M5 protocol as a parallel evidence, provenance and transaction-state layer around the legally authoritative deed and public records. The protocol is based on TitleChain's patented decentralized title-transfer and asset-provenance architecture, including U.S. Patent Nos. 11,720,888 and 12,518,273. The public deed and applicable government recording system remain legally authoritative unless applicable law provides otherwise.

Stage	Proposed M5 / TitleChain treatment
1. Asset identity	Register the physical asset, parcel/legal-description references, jurisdiction and source records.
2. Current title state	Record current titled owner as evidenced by authoritative public/federal records; link deed/title source.
3. Authority state	Register credentialed parties, legal capacity, agency, delegated authority and signature prerequisites.
4. Restriction state	Encode federal historic covenants, reversionary interests, easements, lease constraints and other restrictions as machine-readable policy references.
5. Transfer event	Upon lawful execution and recording, register the state transition and immutable evidence receipt.
6. Public-record reconciliation	Reference official deed/recording instrument, recording date/number, jurisdiction and public-record source.
7. Digital title-state representation	Maintain a non-fractional digital representation of asset/title state and rights metadata; it does not itself grant fee title or override the deed.
8. Ongoing state	Track operating lease, approved rights, financing interests, compliance events and material changes as separate rights layers.

7. Proposed Digital Title-State Representation

Field	Proposed treatment
Asset reference	Physical property + parcel/legal-description + authoritative source links.
Titleholder field	Current legal titleholder as evidenced by official records.
Jurisdiction field	Federal / California / Los Angeles / recording jurisdiction references.
Deed state	Instrument reference, recording status, restrictions and retained interests.
Authority graph	Credentialed entities and named authorized signatories / roles.
Rights layers	Fee title, leasehold, operating rights, financing interests, community/co-op rights kept separate.
Token state	Non-fractional digital title-state representation / provenance object; no claim that the token itself is the deed or conveys title.
Event history	Origination, approvals, transfer/recording, lease, financing and compliance events with evidence receipts.

8. Code + AI + Human Authority

Layer	Function
M5Canon	Deterministic rules, permissions, policy gates and state transitions.
Jev / System One decision intelligence	Narrow classification, routing, scoring and typed probabilistic decisions where appropriate.
LLMs	Complex reasoning, research, drafting and human-readable

	explanation.
Human / institutional authority	GSA, NPS, public owner, counsel, licensed professionals, financial institutions and authorized signatories retain legal authority.
TitleChain	Evidence, provenance and transaction-state receipts across all layers.

Project rule: probability may inform the transaction; probability does not create legal authority.

Programmed Benchmark Objectives

These are target baselines the project is deliberately designing toward. They are not historical results, forecasts, guarantees, or representations of achieved savings. Each project is intended to measure actual performance against the same categories and publish variance from baseline.

Metric	Working baseline	Programmed goal	Measurement	Status
End-to-end transaction timeline	12 months working legacy baseline	2 months target	Elapsed days from defined start gate to defined closing/activation gate	TARGET
Human coordination labor	14,000 hours working baseline	3,000 hours target	Time-tracked legal/admin/project routing hours	TARGET
Administrative labor cost	\$2.10M baseline	\$0.45M target	Actual invoiced and internal labor cost	TARGET
Escrow & title friction	\$1.1475M baseline	\$0.459M target	Escrow/title/settlement/underwriting invoices	TARGET
Compliance/audit friction	\$0.45M baseline	\$0.15M target	Audit, reporting and compliance coordination cost	TARGET
Holding / capital drag	\$8.25M baseline	\$1.375M target	Interest reserve, security, insurance, delay and carry costs	TARGET
Total frictional cost	\$11.9475M baseline	\$2.434M target	Defined cost taxonomy applied consistently across projects	TARGET
Modeled friction reduction	\$9.5135M / 79.6%	Benchmark goal	Measured only after project completion	TARGET
Cost of money	TBD matched conventional financing	Reduce risk premium / fees / carry	Compare spreads, fees, reserves and effective annualized cost	MEASURE
Third-party systems / agents	TBD at baseline mapping	Minimize duplicated state + unnecessary calls	Count systems, integrations, model calls and manual reconciliations	MEASURE

Internal ranking: each PPT project may receive a Commons Performance Benchmark score after measurement. This is an internal operational benchmark, not a credit rating, investment rating or government certification.

9. Cost of Money Benchmark

A specific cost-of-capital reduction is not yet claimed. The project is intentionally designed to test whether earlier title/authority clarity, cleaner diligence, phase-gated capital, shared transaction state and lower coordination risk can reduce lender/investor risk premiums, fees, interest reserves, carry and contingency. The benchmark will compare effective annualized cost, spreads, fees, reserves and timing against matched conventional financing indications and/or comparable transactions.

10. Project-Specific Investment / Capital Lanes

Participant	Proposed economic/legal lane
Foundation / donor	Restricted grant; impact reporting; no deed ownership.

PRI provider	Mission-aligned investment with counsel-defined repayment / below-market economics as applicable.
HTC investor	Tax-credit structure; defined tax/economic rights only; no fractional public-land ownership.
NMTC investor/CDE	QEI/CDE structure if eligible; project loan/investment rights defined in closing documents.
Private lender / operating investor	Defined leasehold/project-company economics, covenants and remedies; subordinate to public/federal title restrictions.
Worker / cooperative participant	Wages + lawful co-op/patronage/operating rights; not fee-title token ownership.
Community participant	Defined governance/participatory rights over legally eligible programs/funds; no deed claim.

11. Principal Risks / Diligence Priorities

Risk	Current mitigation approach
Federal pathway risk	Historic Surplus screening may be unavailable, expired or superseded. Mitigation: immediate written GSA/NPS confirmation and fallback paths.
Public grantee risk	No eligible public grantee has yet committed. Mitigation: City/County/public-instrumentality outreach and preliminary MOU.
Scope / cost risk	\$153M is not a verified rehabilitation budget. Mitigation: independent condition, environmental, engineering and cost diligence.
Occupancy / possession risk	Existing tenant relocation/agreements may affect timing. Mitigation: obtain tenant roster, agreements and relocation plan.
Historic / use constraints	Certain uses may be restricted. Mitigation: NPS-led preservation/use plan and phased program.
Tax-credit risk	QRE, lessee rules, tax-exempt use, recapture and investor structure may differ from assumptions. Mitigation: specialist HTC/NMTC/tax counsel.
Financing risk	Public title/federal restrictions may limit collateral and remedies. Mitigation: finance rehabilitation/leasehold economics, phase-gated commitments and diversified capital stack.
Benchmark risk	Modeled efficiency targets may not be achieved. Mitigation: predefine metrics, independently measure results and publish variance.

12. 90-Day Transaction Roadmap

Window	Priority work
0-30 days	Confirm GSA status/PBC timing; engage NPS; approach public grantee; obtain federal property package; assemble counsel/HTC/NMTC/engineering team.
31-60 days	Title/survey/environmental/condition review; preservation and utilization concept; operator/master-lease structure; preliminary sources/uses; soft-circle capital.
61-90 days	Public-grantee MOU; refined capital plan; draft master lease/development/escrow documents; HTC/NMTC structuring indications; benchmark instrumentation and investor data room.

13. What Is Established vs. Targeted

Status	Meaning
ESTABLISHED / SOURCE-BACKED	Property identity/historic status; GSA disposition research; Historic

	Surplus program framework; public-grantee requirement; potential long-term private/nonprofit lease role.
WORKING ASSUMPTION	Historic Surplus availability for this property today; identity of public grantee/operator; \$200M-\$240M project envelope; actual QRE/NMTC eligibility; final uses and lease terms.
PROGRAMMED BENCHMARK	12 → 2 months, 14,000 → 3,000 coordination hours, \$11.9475M → \$2.434M friction model, lower cost of money, fewer third-party systems/agents.
NOT YET CLAIMED	Completed conveyance; government approval; committed tax credits; guaranteed savings; guaranteed investor return; direct resident dividends from Historic Surplus asset revenue; token-as-deed legal equivalence.

14. Initial Investor / Partner Ask

- Review and comment on the Master Deal Term Sheet and project risk framework.
- Provide a non-binding indication of capital interest or conditional commitment, by capital lane.
- Identify diligence, tax, security, covenant, reporting and governance requirements before definitive commitments.
- Participate in the benchmark design so project-level transaction and cost-of-capital results can be measured credibly.

Selected Source Notes

- Project feasibility source: 312 N. Spring Street Acquisition Feasibility Brief, September 16, 2026.
- GSA: U.S. Courthouse, 312 N. Spring Street, Los Angeles; federal historic-building profile and disposition materials.
- 40 U.S.C. § 550(h): Historic monument conveyances may be made without monetary consideration to eligible state/local public entities, subject to statutory conditions.
- National Park Service, Historic Surplus Property Program: private/not-for-profit organizations cannot directly acquire under the program but may enter long-term leases with public recipients; NPS reviews leases and rehabilitation standards.
- IRS Section 47 / Form 3468 guidance: federal rehabilitation credit equals 20% of qualified rehabilitation expenditures and is generally allowed ratably over five years; long-term lessee rules require tax counsel analysis.
- CDFI Fund, New Markets Tax Credit Program: qualifying investors receive a credit totaling 39% of the qualified equity investment over seven years through certified CDE structures.
- USPTO / patent records: U.S. Patent Nos. 11,720,888 and 12,518,273, Decentralized title transfer and validation of assets.

M5Canon v0.2 Updates

Five Legal / Digital Layers

- Layer 1 — Fee title: authoritative deed and public land records.
- Layer 2 — Federal/public restrictions: NPS, deed, reversion and public-use conditions.
- Layer 3 — Contractual rights: master lease, operating and development agreements.
- Layer 4 — Electronic rights records: optional CERs and digital evidence/control records tied to defined rights.
- Layer 5 — Securities/capital records: only where a security or secured transaction is actually created under definitive documents.

Direct Government-to-Entity Notice Channel

- M5-DPC is proposed as a signed message-to-message channel from an authorized agency identity to a canonical legal-entity endpoint. It is designed to carry registry fees, good-standing changes, compliance notices, filing deadlines, permit/status events and responses with verifiable delivery receipts while preserving statutory service requirements.

M5Canon v0.2 Conformance and Authority Hierarchy

This document is governed by the M5Canon authority hierarchy for PPT-EZ-CA-0001. An authoritative legal act, executed instrument, government record or legally authorized person or institution establishes the legal right or status. A Ricardian contract expresses the authorized right in human-readable and machine-readable form. Deterministic code

TitleChain / M5Canon | U.S. Patent Nos. 11,720,888 & 12,518,273 | Public Commons: TitleChain Foundation / ICSN | github.com/TitleChain-Foundation | titlechainfoundation.org

may validate, constrain, route and enforce only authority already granted. Jev, language models and other probabilistic systems may classify, score, explain and route, but they do not create legal authority. TitleChain records provenance, state, restrictions, authority and receipts. If digital state conflicts with authoritative legal evidence, execution must halt and route to reconciliation and authorized human review.

Clean Document-Control Status

Document control: human-controlled project draft assembled from project source material and reviewed under M5Canon document-control rules. No embedded generative media, comments, tracked changes, hidden prompts, content-control tags or authoring metadata are intended to be present.